

Coca-Cola

New Chapter on Tax Dispute in Line with Expectations

The Coca Cola Company (KO, Overweight rated) announced at the open this morning that The U.S. Tax Court today entered into a decision in the ongoing tax case between KO and the U.S. IRS. The decision reflects a liability of ~\$2.7bn and \$6.0bn with applicable interest. This decision is in line with the prior updates on this case, and as we [had said back in November 2023 \(link\), and as such, was highly anticipated. As such, we do not think today's announcement is stock-moving in isolation, but one can argue that it eliminates part of the overhang and opens the appeal process for KO.](#)

- **Our take:** As we had said in the past, we think this process will take several years, and in the worst-case scenario, the main risk of ultimately leading to an increase in the effective tax rate by as much as 350bps per year in perpetuity (as estimated by KO) is likely beyond most investors' investment horizons. The institutional investors we speak to have been following the story and expected this adverse outcome at the first stage (as did the company – management has been quite vocal about the risk for a while). Also, at least this past February, because the U.S. Tax Court had indicated that it would use the 3M case, and the adverse decision regarding 3M back in February likely set the expectations. As such, we don't expect this news to move shares much as the tax dispute overhang has long been baked into shares (recall, this potential outcome was discussed as early as 2020). Ultimately, the appeals process could take years to play out, and we expect KO to exhaust all appeal options if necessary, up to the U.S. Supreme Court. **We also remind investors that this ruling does not yet impact KO's effective tax rate as the company would only begin reflecting a 350 bps higher rate when it determines it is more likely than not to lose during the appeals process.**
- **KO's Position:** As highly anticipated, KO will appeal this decision, and today's announcement allows the company to start the defense process – from the release this morning: *"Coca-Cola strongly believes the IRS and the Tax Court misinterpreted and misapplied the applicable regulations involved in the case and will vigorously defend its position on appeal. The company has 90 days to file a notice of appeal to the U.S. Court of Appeals for the Eleventh Circuit. The company looks forward to the opportunity to begin the appellate process and, as part of that process, will pay the agreed-upon liability and interest to the IRS."*

Overweight

KO, KO US

Price (01 Aug 24):\$67.96

Beverage, Household & Personal Care Products

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Coca-Cola(KO/\$67.96/OW)

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Coca-Cola (KO, KO US) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends. Initiated coverage Oct 03, 2011. All share prices are as of market close on the previous business day.

Date	Rating	Price (\$)	Price Target (\$)
12-Oct-21	N	54.23	60
28-Oct-21	N	55.52	59
13-Dec-21	OW	56.28	63
04-Feb-22	OW	61.61	64
10-Feb-22	OW	61.04	65
30-Mar-22	OW	62.16	68
22-Apr-22	OW	66.21	73
20-Jul-22	OW	62.53	70
21-Oct-22	OW	55.08	63
26-Oct-22	OW	58.95	64
17-Jan-23	OW	61.43	67
17-Apr-23	OW	63.05	68
14-Jul-23	OW	60.35	67
27-Jul-23	OW	63.05	71
16-Oct-23	OW	52.89	59
24-Oct-23	OW	54.08	62
31-Jan-24	OW	59.90	64
14-Feb-24	OW	59.35	66
19-Apr-24	OW	58.91	65
01-May-24	OW	61.77	68
10-Jul-24	OW	62.69	72

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